JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS AND

INDEPENDENT AUDITORS' REVIEW REPORT

SEPTEMBER 30, 2023 AND 2022

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheet of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at September 30, 2023 and 2022, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the three months then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, "Review of Financial Information Performed by the Independent Auditor of the Entity" of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at September 30, 2023 and 2022, and of its consolidated financial performance and its consolidated cash flows for the three months then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

Hsu, Sheng-Chung

For and on Behalf of PricewaterhouseCoopers, Taiwan

November 10, 2023

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)
(Reviewed, not audited)

	Assets	Notes	September 30, 2023 AMOUNT	%	December 31, 2022 AMOUNT	%	September 30, 2022 AMOUNT	%
	Current assets							
1100	Cash and cash equivalents	6(1)	$ 1,492,716	32	$ 1,711,918	37	$ 1,703,032	36
1110	Financial assets at fair value through profit or loss - current	6(2)	-	-	2,475	-	-	-
1136	Financial assets at amortised cost - current	6(4) and 8	450	-	53,788	1	56,062	1
1150	Notes receivable, net	6(5)	15,887	-	29,661	1	35,268	1
1170	Accounts receivable, net	6(5)	1,260,378	27	1,004,102	22	1,131,295	24
1180	Accounts receivable - related parties, net	7	390	-	-	-	-	-
1200	Other receivables		111,687	3	117,267	3	126,455	3
1220	Current income tax assets		1,297	-	56,142	1	55,952	1
130X	Inventories	6(6)	217,740	5	252,863	6	229,432	5
1410	Prepayments		16,198	-	11,796	-	20,287	-
1470	Other current assets		44,413	1	25,468	1	39,400	1
11XX	**Total current assets**		3,161,156	68	3,265,480	72	3,397,183	72
	Non-current assets							
1510	Non-current financial assets at fair value through profit or loss	6(2)	23,389	1	12,460	1	11,836	-
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	3,227	-	3,071	-	3,175	-
1535	Financial assets at amortised cost - non-current	6(4) and 8	415	-	403	-	421	-
1550	Investments accounted for under equity method	6(7)	-	-	8,442	-	10,180	-
1600	Property, plant and equipment	6(8) and 8	1,129,835	24	1,080,855	24	1,121,261	24
1755	Right-of-use assets	6(9) and 7	122,538	3	92,397	2	99,316	2
1780	Intangible assets	6(28)	68,100	2	-	-	-	-
1840	Deferred income tax assets		49,252	1	51,093	1	58,643	1
1975	Net defined benefit asset - non-current		10,102	-	9,999	-	8,197	-
1990	Other non-current assets	8	55,879	1	51,872	1	36,207	1
15XX	**Total non-current assets**		1,462,737	32	1,310,592	28	1,349,236	28
1XXX	**Total assets**		$ 4,623,893	100	$ 4,576,072	100	$ 4,746,419	100

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)
(Reviewed, not audited)

	Liabilities and Equity	Notes	September 30, 2023 AMOUNT	%	December 31, 2022 AMOUNT	%	September 30, 2022 AMOUNT	%
	Current liabilities							
2100	Short-term borrowings	6(10)	$ 45,000	1	$ 55,000	1	$ 95,000	2
2120	Current financial liabilities at fair value through profit or loss	6(2)	10,397	-	5,447	-	30,214	1
2130	Contract liabilities - current	6(19) and 7	2,293	-	3,187	-	10,702	-
2170	Accounts payable	6(11)	534,281	12	481,009	11	463,055	10
2180	Accounts payable to related parties	7	-	-	14	-	14	-
2200	Other payables	6(12)	281,805	6	266,136	6	273,572	6
2220	Other payables to related parties	7	391	-	270	-	385	-
2230	Current income tax liabilities		67,296	1	42,745	1	83,501	2
2280	Lease liabilities - current	7	17,588	-	3,585	-	1,918	-
2320	Long-term borrowings - current	6(13)	166,565	4	61,800	1	49,300	1
2399	Other current liabilities		5,221	-	3,303	-	3,614	-
21XX	**Total current liabilities**		1,130,837	24	922,496	20	1,011,275	22
	Non-current liabilities							
2540	Long-term borrowings	6(13)	267,911	6	407,200	9	425,600	9
2570	Deferred income tax liabilities		202,920	4	293,604	7	286,107	6
2580	Lease liabilities - non-current	7	24,834	1	6,503	-	8,414	-
2600	Other non-current liabilities		5,983	-	5,340	-	6,302	-
25XX	**Total non-current liabilities**		501,648	11	712,647	16	726,423	15
2XXX	**Total liabilities**		1,632,485	35	1,635,143	36	1,737,698	37
	Equity							
	Equity attributable to owners of the parent							
	Share capital	6(15)						
3110	Ordinary share		892,631	19	892,631	20	892,631	19
	Capital surplus	6(16)						
3200	Capital surplus		1,666,262	36	1,728,746	38	1,728,746	36
	Retained earnings	6(17)						
3310	Legal reserve		143,906	3	143,906	3	143,906	3
3320	Special reserve		362,837	8	423,294	9	423,294	9
3350	(Accumulated deficit) unappropriated retained earnings		59,139	1	(32,785)	(1)	(17,879)	-
	Other equity interest	6(18)						
3400	Other equity interest		(291,121)	(6)	(362,836)	(8)	(317,163)	(7)
31XX	**Equity attributable to owners of the parent**		2,833,654	61	2,792,956	61	2,853,535	60
36XX	**Non-controlling interests**		157,754	4	147,973	3	155,186	3
3XXX	**Total equity**		2,991,408	65	2,940,929	64	3,008,721	63
	Significant contingent liabilities and unrecognised contract commitments	9						
3X2X	**Total liabilities and equity**		$ 4,623,893	100	$ 4,576,072	100	$ 4,746,419	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands of New Taiwan dollars, except earnings (loss) per share)
(Reviewed, not audited)

			Three months ended September 30				Nine months ended September 30			
			2023		2022		2023		2022	
	Items	Notes	AMOUNT	%	AMOUNT	%	AMOUNT	%	AMOUNT	%
4000	Operating revenue	6(19) and 7	$ 865,891	100	$ 748,377	100	$ 2,411,728	100	$ 2,336,635	100
5000	Operating costs	6(6)(24)(25)	(691,302)	(80)	(639,170)	(85)	(1,970,601)	(82)	(2,090,077)	(89)
5900	Gross profit		174,589	20	109,207	15	441,127	18	246,558	11
	Operating expenses	6(24)(25)								
6100	Selling and marketing expenses		(36,137)	(4)	(29,704)	(4)	(87,210)	(3)	(80,249)	(4)
6200	General and administrative expenses		(87,206)	(10)	(71,476)	(10)	(239,248)	(10)	(208,270)	(9)
6300	Research and development expenses		(16,579)	(2)	(9,336)	(1)	(41,873)	(2)	(28,789)	(1)
6450	Impairment (loss) gain	12(2)	2,764	-	(1,387)	-	910	-	(1,329)	-
6000	Total operating expenses		(137,158)	(16)	(111,903)	(15)	(367,421)	(15)	(318,637)	(14)
6900	Net operating profit (loss)		37,431	4	(2,696)	-	73,706	3	(72,079)	(3)
	Non-operating income and expenses									
7100	Interest income	6(20)	7,073	1	7,285	1	22,211	1	18,979	1
7010	Other income	6(21)	5,612	-	2,845	-	9,906	1	13,386	-
7020	Other gains and losses	6(22)	6,953	1	9,614	1	6,975	-	14,361	-
7050	Finance costs	6(23) and 7	(2,507)	-	(2,189)	-	(7,856)	-	(6,985)	-
7060	Share of loss of associates accounted for under equity method	6(7)	-	-	(780)	-	(1,757)	-	(1,520)	-
7000	Total non-operating income and expenses		17,131	2	16,775	2	29,479	2	38,221	1
7900	**Profit (loss) before income tax**		54,562	6	14,079	2	103,185	5	(33,858)	(2)
7950	Income tax expense	6(26)	5,115	1	15,818	2	(41,522)	(2)	(4,725)	-
8200	**Profit (loss) for the period**		$ 59,677	7	$ 29,897	4	$ 61,663	3	($ 38,583)	(2)
	Other comprehensive income (loss)									
	Components of other comprehensive income (loss) that will not be reclassified to profit or loss									
8316	Unrealised losses from investments in equity instruments measured at fair value through other comprehensive income	6(3)	$ -	-	$ -	-	$ 7,906	-	$ -	-
	Components of other comprehensive income (loss) that will be reclassified to profit or loss									
8361	Financial statements translation differences of foreign operations		91,135	10	48,127	6	47,673	2	124,854	5
8300	**Other comprehensive income (loss) for the period**		$ 91,135	10	$ 48,127	6	$ 55,579	2	$ 124,854	5
8500	**Total comprehensive income (loss) for the period**		$ 150,812	17	$ 78,024	10	$ 117,242	5	$ 86,271	3
	Profit (loss) attributable to:									
8610	Owners of the parent		$ 67,517	8	$ 31,506	4	$ 78,540	3	($ 32,545)	(2)
8620	Non-controlling interests		(7,840)	(1)	(1,609)	-	(16,877)	-	(6,038)	-
			$ 59,677	7	$ 29,897	4	$ 61,663	3	($ 38,583)	(2)
	Comprehensive income (loss) attributable to:									
8710	Owners of the parent		$ 150,307	18	$ 71,487	9	$ 129,961	6	$ 73,585	3
8720	Non-controlling interests		(4,495)	(1)	6,537	1	(12,719)	(1)	12,686	-
			$ 150,812	17	$ 78,024	10	$ 117,242	5	$ 86,271	3
	Earnings (loss) per share	6(27)								
9750	Basic earnings (loss) per share		$ 0.76		$ 0.36		$ 0.88		($ 0.36)	
9850	Diluted earnings per share		$ 0.76		$ 0.36		$ 0.88		$ -	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(In thousands of New Taiwan dollars)
(Reviewed, not audited)

		Equity attributable to owners of the parent									
				Retained Earnings			Other equity interest				
	Notes	Share capital ordinary share	Capital surplus	Legal reserve	Special reserve	(Accumulated deficit) unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealised losses from financial assets at fair value through other comprehensive income	Total	Non-controlling interests	Total equity
Nine months ended September 30, 2022											
Balance at January 1, 2022		$ 892,631	$ 1,728,746	$ 126,142	$ 385,192	$ 177,648	($ 395,093)	($ 28,200)	$ 2,887,066	$ 142,500	$ 3,029,566
Loss for the period		-	-	-	-	(32,545)	-	-	(32,545)	(6,038)	(38,583)
Other comprehensive income (loss) for the period	6(18)	-	-	-	-	-	106,130	-	106,130	18,724	124,854
Total comprehensive income (loss) for the period		-	-	-	-	(32,545)	106,130	-	73,585	12,686	86,271
Appropriations of 2021 earnings:	6(17)										
Legal reserve		-	-	17,764	-	(17,764)	-	-	-	-	-
Special reserve		-	-	-	38,102	(38,102)	-	-	-	-	-
Cash dividends		-	-	-	-	(107,116)	-	-	(107,116)	-	(107,116)
Balance at September 30, 2022		$ 892,631	$ 1,728,746	$ 143,906	$ 423,294	($ 17,879)	($ 288,963)	($ 28,200)	$ 2,853,535	$ 155,186	$ 3,008,721
Nine months ended September 30, 2023											
Balance at January 1, 2023		$ 892,631	$ 1,728,746	$ 143,906	$ 423,294	($ 32,785)	($ 334,636)	($ 28,200)	$ 2,792,956	$ 147,973	$ 2,940,929
Profit (loss) for the period		-	-	-	-	78,540	-	-	78,540	(16,877)	61,663
Other comprehensive income (loss) for the period	6(18)	-	-	-	-	-	43,515	7,906	51,421	4,158	55,579
Total comprehensive income (loss) for the period		-	-	-	-	78,540	43,515	7,906	129,961	(12,719)	117,242
Appropriations of 2022 earnings:	6(17)										
Reversal of special reverse		-	-	-	(60,457)	60,457	-	-	-	-	-
Cash dividends		-	-	-	-	(26,779)	-	-	(26,779)	-	(26,779)
Distribution of cash from capital surplus	6(16)	-	(62,484)	-	-	-	-	-	(62,484)	-	(62,484)
Disposal of equity instrument at fair value through other comprehensive income (loss)	6(3)	-	-	-	-	(20,294)	-	20,294	-	-	-
Non-controlling interests	6(28)	-	-	-	-	-	-	-	-	22,500	22,500
Balance at September 30, 2023		$ 892,631	$ 1,666,262	$ 143,906	$ 362,837	$ 59,139	($ 291,121)	$ -	$ 2,833,654	$ 157,754	$ 2,991,408

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)
(Reviewed, not audited)

	Notes	Nine months ended September 30 2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit (loss) before tax		$ 103,185	($ 33,858)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(24)	102,638	93,379
Depreciation charges on right-of-use assets	6(9)(24)	22,802	15,281
Expected credit loss (gain)	12(2)	(910)	1,329
Amortisation charges	6(24)	7,377	14,168
Interest income	6(20)	(22,211)	(18,979)
Gain on disposal of associates accounted for under equity method	6(7)(22)	(3,542)	-
Gain on disposal of property, plant, and equipment	6(22)	(3,580)	(408)
Gain on lease modification	6(22)	(268)	(727)
Loss on financial assets and liabilities at fair value through profit or loss	6(2)(22)	24,930	56,541
Interest expense	6(23)	7,856	6,985
Share of loss of associates accounted for under equity method	6(7)	1,757	1,520
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable		14,083	(10,486)
Accounts receivable		(235,135)	52,718
Accounts receivable to related parties		(390)	-
Other receivables		7,930	24,221
Inventories		40,119	68,618
Other current assets		(21,169)	74,809
Net defined benefit asset - non-current		(103)	(38)
Changes in operating liabilities			
Contract liabilities - current		(894)	10,145
Accounts payable		45,566	(137,694)
Accounts payable to related parties		(14)	14
Other payables		8,381	(90,094)
Other payables to related parties		133	385
Other current liabilities		1,790	1,367
Other non-current liabilities		641	720
Cash inflow generated from operations		100,972	129,916
Interest received		21,757	18,405
Interest paid		(6,858)	(6,319)
Income tax paid		(55,270)	(16,856)
Net cash flows from operating activities		60,601	125,146

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)
(Reviewed, not audited)

	Notes	Nine months ended September 30 2023	2022
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of financial assets at amortised cost		($ 17,656)	($ 25,298)
Proceeds from disposal of financial assets at amortised cost		71,131	235,773
Acquisition of financial assets at fair value through profit or loss		(28,579)	(24,394)
Disposal of financial assets at fair value through profit or loss		7,906	-
The acquisition of subsidiaries (net of cash acquired)		(31,771)	-
Acquisition of property, plant, and equipment	6(29)	(131,217)	(71,773)
Disposal of property, plant, and equipment		4,648	429
Decrease (increase) in guarantee deposits paid		571	(610)
Increase in prepayments for equipment		(4,132)	(12,594)
Net cash flows (used in) from investing activities		(129,099)	101,533
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from short-term borrowings		370,000	590,000
Repayments of short-term borrowings		(380,000)	(790,000)
Repayments of long-term borrowings	6(30)	(47,082)	(34,471)
Payments of lease liabilities	6(30)	(23,071)	(14,517)
Distribution of cash from capital surplus	6(16)	(62,484)	-
Cash dividends	6(17)	(26,779)	(107,116)
Net cash flows used in financing activities		(169,416)	(356,104)
Effect of exchange rate changes on cash and cash equivalents		18,712	48,790
Net decrease in cash and cash equivalents		(219,202)	(80,635)
Cash and cash equivalents at beginning of period		1,711,918	1,783,667
Cash and cash equivalents at end of period		$ 1,492,716	$ 1,703,032

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE NINE MONTHS ENDED SEPTEMBER 30, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)
(Reviewed, not audited)

1. History and Organization

Jochu Technology Co., Ltd. (the "Company") was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the "Group") are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. ("Yourui") and Jingrong Machinery Co., Ltd. ("Jingrong"), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorised for issuance by the Board of Directors on November 10, 2023.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards ("IFRS") that came into effect as endorsed by the Financial Supervisory Commission ("FSC")

New standards, interpretations and amendments endorsed by the FSC and became effective from 2023 are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IAS 1, 'Disclosure of accounting policies'	January 1, 2023
Amendments to IAS 8, 'Definition of accounting estimates'	January 1, 2023
Amendments to IAS 12, 'Deferred tax related to assets and liabilities arising from a single transaction'	January 1, 2023
Amendments to IAS 12, 'International tax reform - pillar two model rules	May 23, 2023

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC and will become effective from 2024 are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IFRS 16, 'Lease liability in a sale and leaseback'	January 1, 2024
Amendments to IAS 1, 'Classification of liabilities as current or noncurrent'	January 1, 2024
Amendments to IAS 1, 'Non-current liabilities with covenants'	January 1, 2024
Amendments to IAS 7 and IFRS 7, 'Supplier finance arrangements	January 1, 2024

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

New Standards, Interpretations and Amendments	Effective date by IASB
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendment to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
Amendments to IAS 21, 'Lack of exchangeability'	January 1, 2025

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended December 31, 2022. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the

International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the FSC.

B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended December 31, 2022.

(2) Basis of preparation

A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:

(a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.

(b) Financial assets at fair value through other comprehensive income.

(c) Defined benefit assets recognised based on the net amount of pension fund assets less present value of defined benefit obligation.

B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the "IFRSs") requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended December 31, 2022.

B. Subsidiaries included in the consolidated financial statements:

			Ownership (%)			
Name of investor	Name of subsidiary	Main business activities	September 30, 2023	December 31, 2022	September 30, 2022	Description
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%) September 30, 2023	December 31, 2022	September 30, 2022	Description
	eBio International Co., Ltd. (eBio International)	Investment holding	52.02%	9.81%	9.81%	Note
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
JOCHU BVI	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	
	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	
eBio International	eBio technology Inc.	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	Note
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%) September 30, 2023	December 31, 2022	September 30, 2022	Description
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	
PIH	JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note : On February 17, 2023, the company’s Board of Directors resolved to increase investment in eBio International. This was achieved by purchasing shares from existing shareholders of eBio International and participating in the cash increase of eBio International. In the first quarter of 2023, the company's stake in eBio International increased from 9.81% to 52.02%, thereby gaining control over eBio International and its subsidiaries.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

(4) Property, plant and equipment

The assets’ residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets’ residual values and useful lives differ from previous estimates or the patterns of consumption of the assets’ future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, ‘Accounting Policies, Changes in Accounting Estimates and Errors’, from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	5 years ~ 36 years
Machinery and equipment	3 years ~ 6 years
Transportation equipment	3 years ~ 5 years
Office equipment	2 years ~ 6 years
Leasehold improvements	5 years
Other equipment	3 years ~ 6 years

(5) Intangible assets

A. Trademarks

Separately acquired trademarks are stated at historical cost. Trademarks acquired in a business combination are recognised at fair value at the acquisition date. Trademarks have a finite useful life and are amortised on a straight-line basis over their estimated useful lives of 8.25 years.

B. Goodwill

Goodwill arises in a business combination accounted for by applying the acquisition method.

C. Other intangible assets, mainly patents, are amortised on a straight-line basis over their estimated useful lives of 10 years.

(6) Intangible assets

A. The recoverable amounts of goodwill, intangible assets with an indefinite useful life and intangible assets that have not yet been available for use are evaluated periodically. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. Impairment loss of goodwill previously recognised in profit or loss shall not be reversed in the following years

B. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash-generating units, or groups of cash-generating units, that is/are expected to benefit from the synergies of the business combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

(7) Income tax

A. The interim period income tax expense is recognised based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.

B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

(8) Business combination

A. The Group uses the acquisition method to account for business combinations. The consideration transferred for an acquisition is measured as the fair value of the assets transferred, liabilities incurred or assumed and equity instruments issued at the acquisition date, plus the fair value of any assets and liabilities resulting from a contingent consideration arrangement. All acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. For each business combination, the Group measures at the acquisition date components of non-controlling interests in the acquiree that are present ownership interests and entitle their holders to the proportionate share of the entity's net assets in the event of liquidation at either fair value or the present ownership instruments proportionate share in the recognised amounts of the acquiree's identifiable net assets. All other non-controlling interests should be measured at the acquisition-date fair value.

B. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of any previous equity interest in the acquiree over the fair value of the identifiable assets acquired and the liabilities assumed is recorded as goodwill at the acquisition date. If the total of consideration transferred, non-controlling interest in the acquire recognised and the fair value of previously held equity interest in the acquiree is less than the fair value of the identifiable assets acquired and the liabilities assumed, the difference is recognised directly in profit or loss on the acquisition date.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended December 31, 2022.

Critical accounting estimates and assumptions

Fair value assessment of goodwill and identifiable assets:

The assessment of goodwill relies on the subjective judgment of the Group, including the identification of cash-generating units and the allocation of assets, liabilities, and goodwill to the respective cash-generating units, as well as the determination of the fair value of identifiable assets acquired in business combinations. The fair value assessment of goodwill and identifiable assets has been conducted with the assistance of expert valuation report. For details on the retrospective adjustments, please refer to Note 6 (28).

6. Details of Significant Accounts

(1) Cash and cash equivalents

	September 30, 2023	December 31, 2022	September 30, 2022
Cash on hand and petty cash	$ 557	$ 329	$ 546
Checking accounts and demand deposits	236,145	348,249	306,118
Time deposits	1,256,014	1,363,340	1,396,368
	$ 1,492,716	$ 1,711,918	$ 1,703,032

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	September 30, 2023	December 31, 2022	September 30, 2022
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	$ -	$ 2,475	$ -
Non-current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	$ 21,000	$ 12,000	$ 12,000
Valuation adjustment	2,389	460	(164)
	$ 23,389	$ 12,460	$ 11,836
Current items:			
Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	$ 10,397	$ 5,447	$ 30,214

A. Amounts recognised in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

	Three months ended September 30, 2023	Three months ended September 30, 2022
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	($ 5,471)	($ 29,779)
Private equity fund	609	(164)
	($ 4,862)	($ 29,943)

	Nine months ended September 30, 2023	Nine months ended September 30, 2022
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	($ 26,859)	($ 56,377)
Private equity fund	1,929	(164)
	($ 24,930)	($ 56,541)

B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

Derivative financial Instruments	September 30, 2023 Contract amount (notional principal) (in thousands)		Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	12,670	2023.10.01~2024.04.29
Sell USD Buy NTD	USD	3,410	2023.10.06~2023.12.08

Derivative financial Instruments	December 31, 2022 Contract amount (notional principal) (in thousands)		Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	13,870	2023.01.01~2023.07.26
Sell USD Buy NTD	USD	3,810	2023.01.10~2023.03.10

Derivative financial Instruments	September 30, 2022 Contract amount (notional principal) (in thousands)		Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	13,140	2022.10.24~2023.05.26
Sell USD Buy NTD	USD	2,580	2022.10.07~2022.11.10

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.

D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	September 30, 2023	December 31, 2022	September 30, 2022
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	$ 3,227	$ 3,071	$ 3,175
I Company	-	28,200	28,200
	3,227	31,271	31,375
Valuation adjustment	-	(28,200)	(28,200)
	$ 3,227	$ 3,071	$ 3,175

A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at September 30, 2023, December 31, 2022 and September 30, 2022, the fair value of such investments were the same as the book value.

B. Amounts recognised in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	Nine months ended September 30, 2023	Nine months ended September 30, 2022
Equity instruments at fair value through other comprehensive income (loss)		
Fair value changes recognised in other comprehensive income	$ 7,906	$ -
Cumulative losses reclassified to retained earnings due to derecognition of financial assets	$ 20,294	$ -

C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortised cost

Items	September 30, 2023	December 31, 2022	September 30, 2022
Current items:			
Restricted assets	$ 450	$ 1,764	$ 1,789
Time deposits with original maturity period of more than three months	-	52,024	54,273
	$ 450	$ 53,788	$ 56,062
Non-current item:			
Restricted assets	$ 415	$ 403	$ 421

A. Amounts recognised in profit or loss in relation to financial assets at amortised cost are listed below:

	Three months ended September 30, 2023	Three months ended September 30, 2022
Interest income	$ 17	$ 753

	Nine months ended September 30, 2023	Nine months ended September 30, 2022
Interest income	$ 371	$ 2,110

B. As at September 30, 2023, December 31, 2022 and September 30, 2022, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortised cost held by the Group was the book value at the balance sheet date.

C. Details of the Group's financial assets at amortised cost pledged to others as collateral are provided in Note 8.

D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	September 30, 2023	December 31, 2022	September 30, 2022
Notes receivable	$ 15,887	$ 29,661	$ 35,268
Accounts receivable	$ 1,261,053	$ 1,005,675	$ 1,132,710
Less: Allowance for uncollectible accounts	(675)	(1,573)	(1,415)
	$ 1,260,378	$ 1,004,102	$ 1,131,295

A. As at September 30, 2023, December 31, 2022 and September 30, 2022, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2022, the balance of receivables from contracts with customers amounted to $1,179,004.

B. The ageing analysis of notes receivable and accounts receivable is as follows:

	September 30, 2023	
	Notes receivable	Accounts receivable
Not past due	$ 15,887	$ 1,225,942
Up to 90 days	-	34,436
Over 91 days	-	675
	$ 15,887	$ 1,261,053

	December 31, 2022		September 30, 2022	
	Notes receivable	Accounts receivable	Notes receivable	Accounts receivable
Not past due	$ 29,661	$ 965,267	$ 35,268	$ 1,097,006
Up to 90 days	-	38,835	-	34,289
Over 91 days	-	1,573	-	1,415
	$ 29,661	$ 1,005,675	$ 35,268	$ 1,132,710

The above ageing analysis was based on past due date.

C. As at September 30, 2023, December 31, 2022 and September 30, 2022, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Inventories

	September 30, 2023	December 31, 2022	September 30, 2022
Raw materials	$ 88,624	$ 80,344	$ 76,506
Work in progress	51,004	42,013	49,936
Finished goods	136,153	187,379	158,819
	275,781	309,736	285,261
Less: Allowance for valuation loss	(58,041)	(56,873)	(55,829)
	$ 217,740	$ 252,863	$ 229,432

The cost of inventories recognised as expense for the year:

	Three months ended September 30,	
	2023	2022
Cost of inventories sold	$ 706,572	$ 643,508
Loss on decline in market value	793	5,949
Loss on disposal of inventory	5,271	4,978
Revenue from sale of scraps	(21,334)	(15,265)
	$ 691,302	$ 639,170

	Nine months ended September 30,	
	2023	2022
Cost of inventories sold	$ 2,017,926	$ 2,115,311
(Gain) loss on decline in market value	(4,244)	19,293
Loss on disposal of inventory	14,615	15,716
Revenue from sale of scraps	(57,696)	(60,243)
	$ 1,970,601	$ 2,090,077

During the period from January 1 to September 30, 2023, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory

(7) Investments accounted for under equity method

	2023	2022
At January 1	$ 8,442	$ -
Addition of investments accounted for under equity method	-	11,700
Disposal of investments accounted for under equity method	(6,685)	-
Share of loss of investments accounted for under equity method	(1,757)	(1,520)
At September 30	$ -	$ 10,180

	September 30, 2023	December 31, 2022	September 30, 2022
Associate			
eBio International Co., Ltd.	$ -	$ 8,442	$ 10,180

A. The Company obtained a seat on the board of eBio International Co., Ltd. on February 14, 2022. As a result of the election, the Company hereafter has significant influence over eBio International Co., Ltd., and accordingly, the investment account was reclassified from financial assets at fair value through other comprehensive income to investments accounted for under equity method.

B. The company acquired a portion of the equity of eBio International Co., Ltd. in February 2023 and participated in the cash increase of eBio International Co., Ltd. in March of the same year. As a result, the company’s shareholding in eBio International Co., Ltd. increased from 9.81% to 52.02%, and the company obtained control over it. In accordance with IFRS 3 "Business Combinations," the previously held equity interest in eBio International Co., Ltd. was remeasured at fair value as of the acquisition date, resulting in a disposal gain of $3,542, which was recognised in profit and loss.

(8) Property, plant and equipment

	2023								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	$ 313,143	$ 903,115	$ 995,083	$ 21,269	$ 11,823	$ 14,404	$ 160,450	$ 188,108	$ 2,607,395
Accumulated depreciation	-	(492,718)	(822,822)	(18,862)	(10,610)	(11,436)	(140,471)	-	(1,496,919)
Accumulated impairment	-	(14,674)	(14,947)	-	-	-	-	-	(29,621)
	$ 313,143	$ 395,723	$ 157,314	$ 2,407	$ 1,213	$ 2,968	$ 19,979	$ 188,108	$ 1,080,855
Opening net book amount as at January 1	$ 313,143	$ 395,723	$ 157,314	$ 2,407	$ 1,213	$ 2,968	$ 19,979	$ 188,108	$ 1,080,855
Additions	-	24,896	75,118	6,020	911	2,350	23,200	1,135	133,630
Acquisition of business combination	-	-	3,321	-	474	-	1,478	-	5,273
Transfer	-	180,222	8,343	-	-	-	-	(188,565)	-
Disposals	-	(41)	(868)	(159)	-	-	-	-	(1,068)
Depreciation charge	-	(39,425)	(48,304)	(1,613)	(845)	(920)	(11,711)	-	(102,638)
Reclassifications	-	-	635	-	-	-	-	-	635
Net exchange differences	-	8,382	3,671	131	4	-	471	489	13,148
Closing net book amount as at September 30	$ 313,143	$ 569,937	$ 199,230	$ 6,786	$ 1,757	$ 4,398	$ 33,417	$ 1,167	$ 1,129,835
At September 30									
Cost	$ 313,143	$ 1,116,048	$ 1,031,585	$ 25,684	$ 14,076	$ 16,754	$ 185,685	$ 1,167	$ 2,704,115
Accumulated depreciation	-	(531,437)	(818,142)	(18,898)	(12,319)	(12,356)	(152,241)	-	(1,545,393)
Accumulated impairment	-	(14,674)	(14,213)	-	-	-	-	-	(28,887)
	$ 313,143	$ 569,937	$ 199,230	$ 6,786	$ 1,757	$ 4,398	$ 33,417	$ 1,167	$ 1,129,835

	2023								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	$ 313,143	$ 897,491	$ 934,963	$ 21,443	$ 10,850	$ 13,533	$ 142,503	$ 167,384	$ 2,501,310
Accumulated depreciation	-	(445,745)	(766,640)	(18,881)	(9,534)	(10,094)	(130,289)	-	(1,381,183)
Accumulated impairment	-	(14,674)	(4,038)	-	-	-	-	-	(18,712)
	$ 313,143	$ 437,072	$ 164,285	$ 2,562	$ 1,316	$ 3,439	$ 12,214	$ 167,384	$ 1,101,415
Opening net book amount as at January 1	$ 313,143	$ 437,072	$ 164,285	$ 2,562	$ 1,316	$ 3,439	$ 12,214	$ 167,384	$ 1,101,415
Additions	-	2,979	15,871	612	907	772	9,677	48,771	79,589
Transfer	-	-	32,538	691	-	98	6,069	(39,396)	-
Disposals	-	-	-	-	-	-	(21)	-	(21)
Depreciation charge	-	(35,837)	(46,815)	(1,132)	(821)	(1,027)	(7,747)	-	(93,379)
Net exchange differences	-	5,836	3,885	120	7	1	608	23,200	33,657
Closing net book amount as at September 30	$ 313,143	$ 410,050	$ 169,764	$ 2,853	$ 1,409	$ 3,283	$ 20,800	$ 199,959	$ 1,121,261
At September 30									
Cost	$ 313,143	$ 909,242	$ 989,894	$ 23,292	$ 11,865	$ 14,404	$ 159,171	$ 199,959	$ 2,620,970
Accumulated depreciation	-	(484,518)	(816,083)	(20,439)	(10,456)	(11,121)	(138,371)	-	(1,480,988)
Accumulated impairment	-	(14,674)	(4,047)	-	-	-	-	-	(18,721)
	$ 313,143	$ 410,050	$ 169,764	$ 2,853	$ 1,409	$ 3,283	$ 20,800	$ 199,959	$ 1,121,261

A. Amount of borrowing costs capitalised as part of property, plant and equipment and the range of the interest rates for such capitalisation: None.

B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 5~25 years, respectively.

C. The Group has recognised impairment losses in the year of occurrence due to the fact that the recoverable amount of certain property, plant and equipment used for the production of certain products, as part of a product transformation plan, is lower than their carrying amount.

D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.

E. The amount of reclassifications for the nine months ended September 30, 2023 was reclassified from other non-current assets to property, plant and equipment.

(9) Leasing arrangements－lessee

A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 3 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.

B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.

C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	September 30, 2023	December 31, 2022	September 30, 2022
Land	$ 75,484	$ 74,689	$ 78,162
Buildings	43,861	13,456	16,549
Business vehicles	3,193	4,252	4,605
	$ 122,538	$ 92,397	$ 99,316

	Depreciation charge	
	Three months ended September 30,	
	2023	2022
Land	$ 451	$ 446
Buildings	6,421	3,143
Business vehicles	353	352
	$ 7,225	$ 3,941

	Depreciation charge	
	Nine months ended September 30,	
	2023	2022
Land	$ 1,331	$ 1,297
Buildings	20,412	12,972
Business vehicles	1,059	1,012
	$ 22,802	$ 15,281

D. For the three months and nine months ended September 30, 2023 and 2022, the additions to right-of-use assets were $5,828, $684, $57,141 and $1,972, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Three months ended September 30,	
	2023	2022
Items affecting profit or loss		
Interest expense on lease liabilities	$ 309	$ 235
Expense on short-term lease contracts	2,963	5,495
Expense on leases of low-value assets	14	14
Expense on variable lease payments	150	80
Gain on lease modification	268	516

	Nine months ended September 30,	
	2023	2022
Items affecting profit or loss		
Interest expense on lease liabilities	$ 978	$ 834
Expense on short-term lease contracts	7,816	14,078
Expense on leases of low-value assets	42	42
Expense on variable lease payments	348	120
Gain on lease modification	268	727

F. For the three months and nine months ended September 30, 2023 and 2022, the Group's total cash outflow for leases were $11,022, $9,245, $31,277 and $28,757, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognised in profit or loss in the period in which the event or condition that triggers those payments occurs.

(10) Short-term borrowings

Type of borrowings	September 30, 2023	Interest rate range	Collateral
Bank borrowings			
Unsecured borrowings	$ 45,000	1.8%～2.015%	None

Type of borrowings	December 31, 2022	Interest rate range	Collateral
Bank borrowings			
Unsecured borrowings	$ 55,000	1.55%	None

Type of borrowings	September 30, 2023	Interest rate range	Collateral
Bank borrowings			
Unsecured borrowings	$ 95,000	1.33%～1.50%	None

(11) Accounts payable

	September 30, 2023	December 31, 2022	September 30, 2022
Accounts payable	$ 477,674	$ 439,803	$ 418,719
Estimated accounts payable	56,607	41,206	44,336
	$ 534,281	$ 481,009	$ 463,055

(12) Other payables

	September 30, 2023	December 31, 2022	September 30, 2022
Salaries and bonus payable	$ 87,217	$ 92,264	$ 83,099
Insurance payable	69,954	72,751	74,120
Mold cost payable	32,535	33,524	38,978
Repairs and maintenance payable	13,141	7,867	5,017
Equipment payable	10,721	8,308	14,769
Employees' compensation and directors' remuneration payable	8,881	-	-
Freights charges payable	5,185	5,593	8,041
Consumption fee payable	2,948	3,309	3,898
Packing payable	1,991	6,960	8,465
Interest payable	189	211	185
Construction payable	-	-	116
Others	49,043	35,349	36,884
	$ 281,805	$ 266,136	$ 273,572

(13) Long-term borrowings

Type of borrowings	Borrowing period and repayment term	Interest rate range	Collateral	September 30, 2023
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.85%~2.13%	Please refer to Note 8	$ 367,600
Unsecured borrowings	Borrowing period is from May 26, 2020 to March 1, 2028; interest is payable monthly.	1.83%~2.595%	None	66,876
				434,476
Less: Current portion				(166,565)
				$ 267,911

Type of borrowings	Borrowing period and repayment term	Interest rate range	Collateral	December 31, 2022
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.60%~2.10%	Please refer to Note 8	$ 411,000
Unsecured borrowings	Borrowing period is from April 6, 2021 to March 1, 2028; interest is payable monthly.	1.70%	None	58,000
				469,000
Less: Current portion				(61,800)
				$ 407,200

Type of borrowings	Borrowing period and repayment term	Interest rate range	Collateral	September 30, 2022
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.46%~1.48%	Please refer to Note 8	$ 416,900
Unsecured borrowings	Borrowing period is from April 6, 2021 to March 1, 2028; interest is payable monthly.	1.56%	None	58,000
				474,900
Less: Current portion				(49,300)
				$ 425,600

(14) <u>Pensions</u>

A. Defined benefit pension plan

(a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.

(b) For the aforementioned pension plan, the Group recognised pension costs of ($34), ($12), ($103) and ($38) for the three months and nine months ended September 30, 2023 and 2022, respectively.

(c) The company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of $214, $240, $641, and $720 for the three months and nine months ended September 30, 2023 and 2022, respectively.

(d) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2023.

B. Defined contribution pension plan

(a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the "New Plan") under the Labor Pension Act (the "Act"), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.

(b) The Company's mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People's Republic of China (PRC) are based on certain percentage of employees' monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.

(c) The pension costs under the defined contribution pension plans of the Group for the three months and nine months ended September 30, 2023 and 2022 were $7,368, $7,743, $22,828 and $23,323, respectively.

(15) Share capital

A. As of September 30, 2023, the Company's authorised capital was $2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was $892,631 with a par value of $10 (in dollars) per share. All proceeds from shares issued have been collected.

B. As at September 30, 2023 and 2022, the Company's ordinary shares outstanding are both 89,263 thousand shares.

(16) Capital surplus

	September 30, 2023	December 31, 2022	September 30, 2022
Share premium	$ 1,549,988	$ 1,612,472	$ 1,612,472
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	7,906	7,906	7,906
	$ 1,666,262	$ 1,728,746	$ 1,728,746

A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalised mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

B. On April 11, 2023, the company's board of directors resolved a cash distribution of $62,484 from the capital surplus ($0.7 per share).

(17) Retained earnings

A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorised to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.

B. The Company's dividend policy is summarised below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.

C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. Special reserve

(a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.

(b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings

(a) The appropriations of 2021 earnings had been resolved at the annual shareholders' meeting on May 27, 2022. Details are summarised below:

	2021			
			Dividends per share	
	Amount		(in dollars)	
Legal reserve	$	17,764		
Special reserve		38,102		
Cash dividends		107,116	$	1.20

(b) The appropriations of 2022 earnings had been resolved at the annual shareholders' meeting on May 26, 2023. Details are summarised below:

	2022			
	Amount		Amount	
Reversal of Special reserve	($	60,457)		
Cash dividends		26,779	$	0.30

(18) <u>Other equity items</u>

	2023					
	Unrealised gains (losses) on valuation		Currency translation		Total	
At January 1	($	28,200)	($	334,636)	($	362,836)
Revaluation		7,906		-		7,906
Disposal of financial assets at fair value through other comprehensive income (loss) – equity instruments		20,294		-		20,294
Currency translation differences:						
–Group		-		43,515		43,515
At September 30	$	-	($	291,121)	($	291,121)

	2022					
	Unrealised gains (losses) on valuation		Currency translation		Total	
At January 1	($	28,200)	($	395,093)	($	423,293)
Currency translation differences:						
–Group		-		106,130		106,130
At September 30	($	28,200)	($	288,963)	($	317,163)

(19) Operating revenue

	Three months ended September 30,	
	2023	2022
Revenue from contracts with customers	$ 865,891	$ 748,377

	Nine months ended September 30,	
	2023	2022
Revenue from contracts with customers	$ 2,411,728	$ 2,336,635

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Three months ended September 30, 2023	Domestic	Asia	Total
Total segment revenue	$ 309,748	$ 570,553	$ 880,301
Inter-segment revenue	(5,017)	(9,393)	(14,410)
Revenue from external customer contracts	$ 304,731	$ 561,160	$ 865,891

Three months ended September 30, 2022	Domestic	Asia	Total
Total segment revenue	$ 266,777	$ 488,845	$ 755,622
Inter-segment revenue	(2,071)	(5,174)	(7,245)
Revenue from external customer contracts	$ 264,706	$ 483,671	$ 748,377

Nine months ended September 30, 2023	Domestic	Asia	Total
Total segment revenue	$ 829,608	$ 1,606,923	$ 2,436,531
Inter-segment revenue	(7,292)	(17,511)	(24,803)
Revenue from external customer contracts	$ 822,316	$ 1,589,412	$ 2,411,728

Nine months ended September 30, 2022	Domestic	Asia	Total
Total segment revenue	$ 815,235	$ 1,535,357	$ 2,350,592
Inter-segment revenue	(3,654)	(10,303)	(13,957)
Revenue from external customer contracts	$ 811,581	$ 1,525,054	$ 2,336,635

B. Contract liabilities

(a) The Group has recognised the following revenue-related contract liabilities:

	September 30, 2023	December 31, 2022	September 30, 2022	January 1, 2022
Contract liabilities:	$ 2,293	$ 3,187	$ 10,702	$ 502

(b) Revenue recognised that was included in the contract liability balance at the beginning of the year is summarised below:

	Three months ended September 30,	
	2023	2022
Revenue recognised	$ -	$ -

	Nine months ended September 30,	
	2023	2022
Revenue recognised	$ 187	$ 502

(20) Interest income

	Three months ended September 30,	
	2023	2022
Interest income from bank deposits	$ 7,043	$ 6,526
Interest income from financial assets at amortised cost	17	753
Other interest income	13	6
	$ 7,073	$ 7,285

	Nine months ended September 30,	
	2023	2022
Interest income from bank deposits	$ 21,798	$ 16,851
Interest income from financial assets at amortised cost	371	2,110
Other interest income	42	18
	$ 22,211	$ 18,979

(21) Other income

	Three months ended September 30,	
	2023	2022
Subsidy income	$ 226	$ 594
Solar revenue	620	785
Other income	4,766	1,466
	$ 5,612	$ 2,845

	Nine months ended September 30,	
	2023	2022
Subsidy income	$ 947	$ 7,114
Solar revenue	1,663	1,709
Other income	7,296	4,563
	$ 9,906	$ 13,386

(22) Other gains and losses

	Three months ended September 30,	
	2023	2022
Gain on disposal of property, plant and equipment	$ 138	$ 157
Gain on lease modification	268	516
Foreign exchange gains	10,972	39,007
Loss on financial assets and liabilities at fair value through profit or loss	(4,862)	(29,943)
Miscellaneous disbursements	437	(123)
	$ 6,953)	$ 9,614)

	Nine months ended September 30,	
	2023	2022
Gain on disposal of associates accounted for under equity method	$ 3,542	$ -
Gain on disposal of property, plant and equipment	3,580	408
Gain on lease modification	268	727
Foreign exchange gains	24,932	74,440
Loss on financial assets and liabilities at fair value through profit or loss	(24,930)	(56,541)
Miscellaneous disbursements	(417)	(4,673)
	$ 6,975	$ 14,361

(23) Finance costs

	Three months ended September 30,	
	2023	2022
Interest expense from bank borrowings	$ 2,198	$ 1,954
Interest expense from lease liabilities	309	235
	$ 2,507	$ 2,189

	Nine months ended September 30,	
	2023	2022
Interest expense from bank borrowings	$ 6,878	$ 6,151
Interest expense from lease liabilities	978	834
	$ 7,856	$ 6,985

(24) Expenses by nature

	Three months ended September 30,	
	2023	2022
Employee benefit expense	$ 198,335	$ 173,178
Depreciation charges on property, plant and equipment	37,629	31,977
Depreciation charges on right-of-use assets	7,225	3,941
Amortisation charges on molds	2,527	4,917

	Nine months ended September 30,	
	2023	2022
Employee benefit expense	$ 558,884	$ 544,900
Depreciation charges on property, plant and equipment	102,638	93,379
Depreciation charges on right-of-use assets	22,802	15,281
Amortisation charges on molds	7,377	14,168

(25) Employee benefit expense

	Three months ended September 30,	
	2023	2022
Wages and salaries	$ 169,520	$ 146,150
Labour and health insurance fees	11,564	11,092
Pension costs	7,548	7,971
Other personnel expenses	9,703	7,965
	$ 198,335	$ 173,178

	Nine months ended September 30,	
	2023	2022
Wages and salaries	$ 471,853	$ 461,078
Labour and health insurance fees	34,561	34,153
Pension costs	23,366	24,005
Other personnel expenses	29,104	25,664
	$ 558,884	$ 544,900

A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax,before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees 'compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.

B. (a) For the three months and nine months ended September 30, 2023, employees' compensation were accrued at $5,264 and $6,831, respectively; directors' remuneration were accrued at $1,578 and $2,050, respectively. The aforementioned amounts were recognised in salary expenses.

(b) For the three months and nine months ended September 30, 2022, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.

(c) Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(26) Income tax

A. Components of income tax expense (benefit)

	Three months ended September 30,	
	2023	2022
Current tax:		
Current tax for the period	$ 65,229	$ 51,121
Prior year income tax (over) under estimation	(657)	1,278
Total current tax	64,572	52,399
Deferred tax:		
Origination and reversal of temporary differences	(69,687)	(68,217)
Income tax benefit	($ 5,115)	($ 15,818)

	Nine months ended September 30,	
	2023	2022
Current tax:		
Current tax for the period	$ 124,209	$ 73,254
Prior year income tax under estimation	6,156	3,772
Total current tax	130,365	77,026
Deferred tax:		
Origination and reversal of temporary differences	(88,843)	(72,301)
Income tax expense	$ 41,522	$ 4,725

B. The Company's income tax returns through 2021 have been assessed and approved by the Tax Authority.

(27) Earnings (loss) per share

	Three months ended September 30, 2023		
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Profit per share (in dollars)
Basic and diluted earnings per share			
Profit attributable to the parent	$ 67,517	89,263	$ 0.76
Diluted earnings per share			
Profit attributable to the parent	$ 67,517	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	331	
	$ 67,517	89,594	$ 0.75

	Three months ended September 30, 2022		
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
Basic and diluted earnings per share			
Profit attributable to the parent	$ 31,506	89,263	$ 0.36

	Nine months ended September 30, 2023		
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Profit per share (in dollars)
Basic and diluted earnings per share			
Profit attributable to the parent	$ 78,540	89,263	$ 0.88
Diluted earnings per share			
Profit attributable to the parent	$ 78,540	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	331	
	$ 78,540	89,594	$ 0.88

	Nine months ended September 30, 2022		
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
Basic and diluted loss per share			
Loss attributable to the parent	($ 32,545)	89,263	($ 0.36)

(28) Business Combination

A. During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of $59,414, thereby participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. The eBio International Group operates medical businesses in Taiwan, including a pressure ulcer prevention system. The company expects that this acquisition will enhance its position in these markets and lead to cost reduction through economies of scale.

B. The information regarding the consideration paid for the acquisition of eBio International Group, the assets acquired, and the liabilities assumed at the fair value as of the acquisition date, as well as the information on non-controlling interests' share in the identifiable net assets as of the acquisition date, is as follows:

	March 20, 2023
The consideration received	
Cash	$ 25,850
The fair value of the equity previously held in eBio International on the acquisition date	43,791
The non-controlling interest's proportion of the identifiable net assets of the acquiree	22,500
	92,141
The fair value of identifiable assets acquired and liabilities assumed	
Cash and cash equivalents	27,643
Notes and accounts receivable, net	67
Inventories	2,669
Prepayments	3,475
Residual tax credit	1,690
Prepaid expenses and temporary payments	692
Other receivables	27
Property, plant and equipment	5,273
Right-of-use assets	6,484
Intangible assets	24,000
Guarantee deposits paid	309
Deferred income tax assets	86
Long-term borrowings(including current portion)	(12,558)
Accounts payable	(12)
Accrued payroll	(739)
Other accrued expenses payable	(865)
Other current liabilities	(66)
Lease liabilities	(6,484)
Deferred income tax liabilities	(4,797)
Identifiable net assets	46,894
Goodwill	$ 45,247

C. On August 4, 2023, the Company obtained a valuation report and retrospectively adjusted the fair values of identifiable assets and liabilities acquired on the acquisition date. According to the valuation report, adjustments were made to the fair values as follows: the fair value of inventories was adjusted from $3,023 to $2,669, the fair value of property, plant, and equipment was adjusted from $5,260 to $5,273, the fair value of intangible assets was adjusted from $105 to $24,000, the fair value of deferred tax assets was adjusted from $0 to $86, and the fair value of deferred tax liabilities was adjusted from $0 to ($4,797). Other than these adjustments, there were no differences. Goodwill was adjusted from $55,049 to $45,247.

D. The Company held a 9.81% equity interest in eBio International Co., Ltd. prior to the business combination, which was remeasured at fair value resulting in a realized gain of $3,542, please refer to note 6(7) for details.

E. Since the merger with eBio International Co., Ltd. on March 20, 2023, and eBio International Co., Ltd. contributed operating revenue of $2,083 and a pre-tax net loss of ($11,813). However, if we assume that eBio International had been included in the consolidation since January 1, 2023, the Group's operating revenue and pre-tax net income would have amounted to $2,411,831 and $97,384, respectively.

(29) Supplemental cash flow information

A. Investing activities with partial cash payments:

	Nine months ended September 30, 2023	Nine months ended September 30, 2022
Purchase of property, plant and equipment	$ 133,630	$ 79,589
Add: Opening balance of payable on equipment	8,308	6,426
Opening balance of payable on construction	-	643
Less: Ending balance of payable on equipment	(10,721)	(14,769)
Ending balance of payable on construction	-	(116)
Cash paid during the year	$ 131,217	$ 71,773

(30) Changes in liabilities from financing activities

	2023				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	$ 55,000	$ 469,000	$ 10,088	$ 905	$ 534,993
Changes in cash flow from financing activities	(10,000)	(47,082)	(23,071)	-	(80,153)
Changes in other non-cash items	-	-	48,916	-	48,916
Acquisition of business combination	-	12,558	6,484	-	19,042
Impact of changes in foreign exchange rate	-	-	5	2	7
At September 30	$ 45,000	$ 434,476	$ 42,422	$ 907	$ 522,805

	2022				
	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	$ 295,000	$ 509,371	$ 40,564	$ 902	$ 845,837
Changes in cash flow from financing activities	(200,000)	(34,471)	(14,517)	-	(248,988)
Changes in other non-cash items	-	-	(16,318)	-	(16,318)
Impact of changes in foreign	-	-	603	4	607
At September 30	$ 95,000	$ 474,900	$ 10,332	$ 906	$ 581,138

7. Related Party Transactions

(1) Names of related parties and relationship

Names of related parties	Relationship with the Group
eBio Technology Inc.(Note)	Other related party
Shin Zu Shing Co., Ltd.	Other related party

Note：The consolidated entity included in the Group since March 20, 2023.

(2) Significant related party transactions

A. Operating revenue:

	Three months ended September 30,	
	2023	2022
Sales of goods:		
Other related parties	$ 333	($ 70)

	Nine months ended September 30,	
	2023	2022
Sales of goods:		
Other related parties	$ 333	$ 560

There is no significant difference between the sales price and credit terms from non-related parties.

B. Acquisition of financial assets

During March 2023, the Company participated in the cash increase of eBio International Co., Ltd. Please refer to Note 6(28) for further details

C. Lease transactions-lessee

Nine months ended September 30, 2023

(a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023, to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to $44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is $46,657.

(b) Right-of-use assets

A. Carrying amount

	September 30, 2023
Buildings and structures	$ 33,327

B. Depreciation charge

	Three months ended September 30, 2023
Buildings and structures	$ 3,703

	Nine months ended September 30, 2023
Buildings and structures	$ 11,109

(c) Lease liabilities

A. Carrying amount

	September 30, 2023
Shin Zu Shing Co., Ltd.	$ 33,506

B. Interest expense

	Three months ended September 30, 2023
Shin Zu Shing Co., Ltd.	$ 130

	Nine months ended September 30, 2023
Shin Zu Shing Co., Ltd.	$ 428

Nine months ended September 30, 2022

(a) Since March 26, 2022, the Company leases buildings and parking spaces from other related parties. Rental contracts are made for periods of March 26, 2022 to December, 2022. Rents are paid annually, and the checks for each month's rent were rendered within 15 days after the signing of the contract and be cash out on a monthly basis.

(b) Rent expense, administrative expenses and disbursement fee

	Three months ended September 30, 2022
Other related parties	$ 5,427

	Nine months ended September 30, 2022
Other related parties	$ 9,917

D. Receivables from related parties

	September 30, 2023	December 31, 2022	September 30, 2022
Accounts receivable: Other related parties	$ 390	$ -	$ -

E. Payable to related parties

	September 30, 2023	December 31, 2022	September 30, 2022
Accounts Payable: Other related parties	$ -	$ 14	$ 14
Other payables: Other related parties	$ 391	$ 270	$ 385

F. Contract liabilities

	September 30, 2023	December 31, 2022	September 30, 2022
Other related parties	$ -	$ 3,000	$ 3,000

The contract liabilities to other related parties represents unearned sales revenue.

(3) Key management compensation

	Three months ended September 30,	
	2023	2022
Short-term employee benefits	$ 7,719	$ 4,669
Post-employment benefits	144	135
	$ 7,863	$ 4,804

	Nine months ended September 30,	
	2023	2022
Short-term employee benefits	$ 17,587	$ 13,925
Post-employment benefits	438	429
	$ 18,025	$ 14,354

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

	Book value			
Pledged asset	September 30, 2023	December 31, 2022	September 30, 2022	Purpose
Financial assets at amortised cost - current	$ 450	$ 1,764	$ 1,789	Customs guarantee
Financial assets at amortised cost - non-current	415	403	421	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	148,238	157,453	163,071	Bank secured borrowings
Machinery and equipment	-	-	54,298	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	7,619	7,816	7,838	Rental deposit

9. Significant Contingent Liabilities and Unrecognised Contract Commitments

Commitments

As of September 30, 2023, the Group had opened unused letters of credit for importing inventories and equipment of $24,175.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

None.

12. Others

(1) Capital management

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2022.

(2) Financial instruments

A. Financial instruments by category

	September 30, 2023	December 31, 2022	September 30, 2022
Financial assets			
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	$ 23,389	$ 14,935	$ 11,836
Financial assets at fair value through other comprehensive income	3,227	3,071	3,175
Financial assets at amortised cost			
Cash and cash equivalents	1,492,716	1,711,918	1,703,032
Financial assets at amortised cost (current and non-current)	865	54,191	56,483
Notes receivable, net	15,887	29,661	35,268
Accounts receivable, net	1,260,378	1,004,102	1,131,295
Accounts receivable-related party	390	-	-
Other receivables	111,687	117,267	126,455
Guarantee deposits paid	7,619	7,816	7,838
	$ 2,916,158	$ 2,942,961	$ 3,075,382

	September 30, 2023	December 31, 2022	September 30, 2022
Financial liabilities			
Financial liabilities mandatorily measured at fair value through profit or loss	$ 10,397	$ 5,447	$ 30,214
Financial liabilities at amortised cost			
Short-term borrowings	45,000	55,000	95,000
Accounts payable	534,281	481,009	463,055
Accounts payable-related party	-	14	14
Other payables	281,805	266,136	273,572
Other payables-related party	391	270	385
Long-term borrowings (including current portion)	434,476	469,000	474,900
Guarantee deposits received	907	905	906
	$ 1,307,257	$ 1,277,781	$ 1,338,046
Lease liabilities (current and non-current)	$ 42,422	$ 10,088	$ 10,332

B. Financial risk management policies

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2022.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.

ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

	September 30, 2023		
	Foreign currency amount (In thousands)	Exchange rate	Book value (NTD)
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	$ 13,113	32.2700	$ 423,157
USD:RMB	15,878	7.1798	512,383
USD:VND	273	24,089	8,810
Financial liabilities			
Monetary items			
USD:NTD	$ 255	32.2700	$ 8,229
USD:RMB	3,234	7.1798	104,361
USD:VND	128	24,089	4,131

	December 31, 2022				
	Foreign currency amount (In thousands)		Exchange rate	Book value (NTD)	
(Foreign currency: functional currency)					
Financial assets					
Monetary items					
USD:NTD	$	8,815	30.7100	$	270,709
USD:RMB		14,930	6.9646		458,500
USD:VND		894	23,612		27,455
Financial liabilities					
Monetary items					
USD:NTD	$	410	30.7100	$	12,591
USD:RMB		2,783	6.9646		85,466
USD:VND		159	23,612		4,883

	September 30, 2022				
	Foreign currency amount (In thousands)		Exchange rate	Book value (NTD)	
(Foreign currency: functional currency)					
Financial assets					
Monetary items					
USD:NTD	$	5,950	31.7500	$	188,913
USD:RMB		13,525	7.0998		429,419
USD:VND		1,051	23,400		33,369
Financial liabilities					
Monetary items					
USD:NTD	$	320	31.7500	$	10,160
USD:RMB		1,709	7.0998		54,261
USD:VND		303	23,400		9,620

iii. Total exchange gains (losses), including realised and unrealised, arising from significant foreign exchange variation on the monetary items held by the Group for the three months and nine months ended September 30, 2023 and 2022, amounted to $10,972, $39,007, $24,932, and $74,440, respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

	Nine months ended September 30, 2023		
	Sensitivity analysis		
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	1%	$ 4,232	$ -
USD:RMB	1%	5,124	-
USD:VND	1%	88	-
Financial liabilities			
Monetary items			
USD:NTD	1%	$ 82	$ -
USD:RMB	1%	1,044	-
USD:VND	1%	41	-

	Nine months ended September 30, 2022		
	Sensitivity analysis		
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income
(Foreign currency: functional currency)			
Financial assets			
Monetary items			
USD:NTD	1%	$ 1,889	$ -
USD:RMB	1%	4,294	-
USD:VND	1%	334	-
Financial liabilities			
Monetary items			
USD:NTD	1%	$ 102	$ -
USD:RMB	1%	543	-
USD:VND	1%	96	-

Cash flow and fair value interest rate risk

i. The Group’s main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the nine months ended

September 30, 2023 and 2022, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.

ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the nine months ended September 30, 2023 and 2022 would have increased/decreased by $ 3,476 and $ 3,799, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:

(i) The carrying amount of the respective recognised financial assets as stated in the balance sheets;

(ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.

ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.

iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.

iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.

v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.

vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On September 30, 2023, December 31, 2022 and September 30, 2022, the provision matrix is as follows:

September 30, 2023	Expected loss rate	Total book value	Loss allowance
Not past due	0%	$ 1,225,942	$ -
Up to 90 days	0%	34,436	-
Over 91 days	100%	675	675
		$ 1,261,053	$ 675

December 31, 2022	Expected loss rate	Total book value	Loss allowance
Not past due	0%	$ 965,267	$ -
Up to 90 days	0%	38,835	-
Over 91 days	100%	1,573	1,573
		$ 1,005,675	$ 1,573

September 30, 2022	Expected loss rate	Total book value	Loss allowance
Not past due	0%	$ 1,097,006	$ -
Up to 90 days	0%	34,289	-
Over 91 days	100%	1,415	1,415
		$ 1,132,710	$ 1,415

viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable are as follows:

	2023	2022
At January 1	$ 1,573	$ 74
Provision for impairment	-	1,329
Reversal of impairment loss	(910)	-
Effect of foreign rate exchange	12	12
At September 30	$ 675	$ 1,415

(c) Liquidity risk

i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.

ii. The Group has the following undrawn borrowing facilities:

	September 30, 2023	December 31, 2022	September 30, 2022
Floating rate:			
Expiring within one year	$ 2,239,331	$ 2,134,373	$ 2,155,424
Expiring beyond one year	-	-	-
Fixed rate:			
Expiring within one year	$ -	$ -	$ -
Expiring beyond one year	-	-	-

iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

September 30, 2023	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 45,134	$ -	$ -	$ -
Accounts payable	534,281	-	-	-
Other payables	281,805	-	-	-
Other payables-related parties	391	-	-	-
Lease liabilities	18,123	17,997	7,158	-
Long-term borrowings (including current portion)	174,321	72,704	205,804	13,711
Guarantee deposits received	907	-	-	-
	$1,054,962	$ 90,701	$ 212,962	$ 13,711

December 31, 2022	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 55,077	$ -	$ -	$ -
Accounts payable	481,009	-	-	-
Accounts payable-related parties	14	-	-	-
Other payables	266,136	-	-	-
Other payables-related parties	270	-	-	-
Lease liabilities	5,537	4,777	1,832	-
Long-term borrowings (including current portion)	69,915	169,022	206,019	61,398
Guarantee deposits received	905	-	-	-
	$ 878,863	$ 173,799	$ 207,851	$ 61,398

September 30, 2022	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 95,287	$ -	$ -	$ -
Accounts payable	463,055	-	-	-
Accounts payable-related parties	14	-	-	-
Other payables	273,572			
Other payables-related parties	385	-	-	-
Lease liabilities	2,509	6,474	2,112	-
Long-term borrowings (including current portion)	56,318	168,121	204,529	81,244
Guarantee deposits received	906	-	-	-
	$ 892,046	$ 174,595	$ 206,641	$ 81,244

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, accounts receivable, accounts receivable-related parties, other receivables, guarantee deposits paid, short-term borrowings, accounts payable, other payables, lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

September 30, 2023	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Private equity fund	$ -	$ -	$ 23,389	$ 23,389
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,227	3,227
	$ -	$ -	$ 26,616	$ 26,616
Liabilities				
Recurring fair value measurements				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 10,397	$ -	$ 10,397

December 31, 2022	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 2,475	$ -	$ 2,475
Private equity fund	-	-	12,460	12,460
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,071	3,071
	$ -	$ 2,475	$ 15,531	$ 18,006

	Level 1	Level 2	Level 3	Total
Liabilities				
Recurring fair value measurements				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 5,447	$ -	$ 5,447

September 30, 2022	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Private equity fund	-	-	11,836	11,836
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,175	3,175
	$ -	$ -	$ 15,011	$ 15,011
Liabilities				
Recurring fair value measurements				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 30,214	$ -	$ 30,214

(b) The methods and assumptions the Group used to measure fair value are as follows:

i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.

ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.

iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.

iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.

D. For the nine months ended September 30, 2023 and 2022, there was no transfer between Level 1 and Level 2.

E. The following chart is the movement of Level 3 for the nine months ended September 30, 2023 and 2022:

	Equity instrument	
	2023	2022
At January 1	$ 15,531	$ 14,468
Recognised in other comprehensive income	7,906	-
Recognised in profit or loss	1,929	(164)
Acquired during the period	9,000	12,000
Disposal during the period	(7,906)	-
Transfers out from level 3	-	(11,700)
Effect of exchange rate changes	156	407
At September 30	$ 26,616	$ 15,011

F. Information relating to transfer out amounting to $0 and $11,700 from Level 3 for the nine months ended September 30, 2023 and 2022 is provided in Note 6(7).

G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	September 30, 2023	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 3,227	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	23,389	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	December 31, 2022	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 3,071	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	12,460	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	September 30, 2022	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 3,175	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Private equity fund	$ 11,836	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

A. Loans to others: Refer to table 1.

B. Provision of endorsements and guarantees to others: Refer to table 2.

C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.

D. Acquisition or sale of the same security with the accumulated cost exceeding $300 million or 20% of the Company's paid-in capital: None.

E. Acquisition of real estate reaching $300 million or 20% of paid-in capital or more: None.

F. Disposal of real estate reaching $300 million or 20% of paid-in capital or more: None.

G. Purchases or sales of goods from or to related parties reaching $100 million or 20% of paid-in capital or more: None.

H. Receivables from related parties reaching $100 million or 20% of paid-in capital or more: None.

I. Trading in derivative instruments undertaken during the reporting periods: Refer to Notes 6(2), 6(22) and 12(2).

J. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

A. Basic information: Refer to table 5.

B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 6.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

Three months ended September 30, 2023	Domestic	Asia	Total
Revenue from external customers	$ 304,731	$ 561,160	$ 865,891
Inter-segment revenue (Note)	5,017	9,393	14,410
Total segment revenue	$ 309,748	$ 570,553	$ 880,301
Segment (loss) income	($ 27,914)	$ 65,345	$ 37,431

Three months ended September 30, 2022	Domestic	Asia	Total
Revenue from external customers	$ 264,706	$ 483,671	$ 748,377
Inter-segment revenue (Note)	2,071	5,174	7,245
Total segment revenue	$ 266,777	$ 488,845	$ 755,622
Segment (loss) income	($ 41,318)	$ 38,622	($ 2,696)

Nine months ended September 30, 2023	Domestic	Asia	Total
Revenue from external customers	$ 822,316	$ 1,589,412	$ 2,411,728
Inter-segment revenue (Note)	7,292	17,511	24,803
Total segment revenue	$ 829,608	$ 1,606,923	$ 2,436,531
Segment (loss) income	($ 138,494)	$ 212,200	$ 73,706

Nine months ended September 30, 2022	Domestic	Asia	Total
Revenue from external customers	$ 811,581	$ 1,525,054	$ 2,336,635
Inter-segment revenue (Note)	3,654	10,303	13,957
Total segment revenue	$ 815,235	$ 1,535,357	$ 2,350,592
Segment (loss) income	($ 141,914)	$ 69,835	($ 72,079)

Note: Sales between segments are carried out at arm’s length.

(3) Reconciliation for segment income (loss)

A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months and nine months ended September 30, 2023 and 2022 is provided as follows:

	Three months ended September 30,	
	2023	2022
Reportable segments gain (loss)	$ 37,431	($ 2,696)
Total non-operating income and expenses	17,131	16,775
Gain (loss) income before tax from continuing operations	$ 54,562	$ 14,079

	Nine months ended September 30,	
	2023	2022
Reportable segments gain (loss)	$ 73,706	($ 72,079)
Total non-operating income and expenses	29,479	38,221
Gain (loss) income before tax from continuing operations	$ 103,185	($ 33,858)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Nine months ended September 30, 2023

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum outstanding balance during the year ended 2023	Balance at September 30, 2023 (Note 2)	Actual amount drawn down	Interest rate	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral Item	Collateral Value	Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
0	The Company	eBio International	Other receivables - related parties	Yes	$ 5,000	$ -	$ -	-	-	$ -	-	-	-	$ -	$ 566,731	$ 1,133,462	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided

Nine months ended September 30, 2023

Table 2

Expressed in thousands of NTD

(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee Name	Endorsee/Guarantee Relationship (Note 1)	Limit on Endorsement/ Guarantee Given on Behalf of Each Party （Note 2）	Maximum Amount Endorsed/ Guaranteed During the Period （Note 3）	Outstanding Endorsement/ Guarantee at the End of the Period （Note 4）	Actual Amount Borrowed （Note 5）	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit （Note 2）	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries （Note 6）	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent （Note 6）	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China （Note 6）	Footnote
0	The Company	JOCHU VIETNAM	1	$ 1,416,827	$ 48,405	$ 48,405	$ -	None	1.71%	$ 2,833,654	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.
Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:
(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.
For other cases, it shall not exceed 10% of the net worth.
(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.
Note 3: The guarantee limit at September 30, of the Company for JOCHU TECHNOLOGY (VIETNAM) CO., LTD is USD $1,500 thousands.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
September 30, 2023

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of September 30, 2023				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	$ 23,389	3%	$ 23,389	
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,227	-	3,227	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	968	-	968	USD 30

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Nine months ended September 30, 2023

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

				Initial investment amount		Shares held as at September 30, 2023			Net profit (loss) of the investee for the nine months ended September 30, 2023	Investment income (loss) recognised by the Company for the nine months ended September 30, 2023	
Investor	Investee	Location	Main business activities	Balance as at September 30, 2023	Balance as at December 31, 2022	Number of shares	Ownership (%)	Book value			Footnote
The Company	JOCHU BVI	British Virgin Islands	Investment holding	$ 957,549	$ 957,549	30,565	100%	$ 1,755,822	$ 171,329	$ 172,727	
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	41,441	(6,816)	(6,771)	
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	71,114	11,700	6,331	52.02%	62,991	(17,615)	(8,407)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	436,776	72,720	72,720	
JOCHU BVI	PIH	Singapore	Investment holding	286,858	286,858	9,848	65%	262,575	(30,698)	(19,954)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	436,776	72,720	72,720	
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	437,133	437,133	Not applicable	100%	401,840	(30,183)	(30,183)	
eBIO INTERNATIONAL CO., LTD.	eBIO TECHNOLOGY INC.	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	71,071	6,671	11,971	100%	15,549	(17,420)	(17,420)	

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Nine months ended September 30, 2023

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method（Note 1）	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2023	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the nine months ended September 30, 2023: Remitted to China	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the nine months ended September 30, 2023: Remitted back to Taiwan	Accumulated amount of remittance from Taiwan to Mainland China as of September 30, 2023	Net income of investee for the nine months ended September 30, 2023	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the nine months ended September 30, 2023（Note 2）	Book value of investments in Mainland China as of September 30, 2023	Accumulated amount of investment income remitted back to Taiwan as of September 30, 2023	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	$ 569,170	Note 1(2)A	$ 367,541	$ -	$ -	$ 367,541	$ 118,300	100%	$ 118,300	$ 1,057,239	$ 1,340,626	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)B	328,912	-	-	328,912	109,073	100%	109,073	655,122	389,774	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of September 30, 2023	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	$ 696,453 (USD21,500)	$ 862,275 (USD28,801)	$ 1,794,845

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:
(1) Directly invest in a company in Mainland China.
(2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
A. Invested through Jochu Investment Ltd.
B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
(3) Others

Note 2: In the ‘Investment income (loss) recognised by the Company for the nine months ended September 30, 2023’ column:
(1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
(2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
B.The financial statements were audited by R.O.C. parent company’s CPA.
C.Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009, the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Major shareholders information

September 30, 2023

Table 6

Name of major shareholders	Shares		
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	Ownership (%)
Heng Xing Investment Co., Ltd.	9,124,000	-	10.22%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository & Clearing Corporation based on the number of ordinary shares and preferred shares held by shareholders with ownership of 5% or greater, that have been issued without physical registration (included treasury shares) by the Group as of the last business day for the current quarter. The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individual trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%)＝Number of shares held / Total number of shares that have been issued without physical registration.

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).